



# HPE Q2 Fiscal 2026 Earnings

June 1<sup>st</sup>, 2026

## Forward-looking statements

This presentation contains forward-looking statements within the meaning of the safe harbor provisions of the Private Securities Litigation Reform Act of 1995. Such statements involve risks, uncertainties, and assumptions. If the risks or uncertainties ever materialize or the assumptions prove incorrect, the results of Hewlett Packard Enterprise Company and its consolidated subsidiaries ("HPE") may differ materially from those expressed or implied by such forward-looking statements and assumptions. The words "believe", "expect", "anticipate", "guide", "optimistic", "intend", "aim", "will", "estimates", "may", "likely", "could", "should" and similar expressions are intended to identify such forward-looking statements. All statements other than statements of historical fact are statements that could be deemed forward-looking statements, including but not limited to any statements regarding the ongoing integration of Juniper Networks, Inc., and any projections, estimates, or expectations of savings or synergy realizations in connection therewith, any projections, estimations, or expectations of addressable markets and their sizes, revenue (including annualized revenue run-rate), margins, expenses (including stock-based compensation expenses), investments, effective tax rates, interest rates; the impact of changes in trade policies and restrictions and any uncertainty created thereby; commodity costs, any statements of the plans, strategies, and objectives of management for future operations, as well as the execution and consummation of corporate transactions or contemplated acquisitions or dispositions and the receipt of proceeds therefrom, and any resulting benefits, cost savings, charges, or revenue or profitability improvements; any statements concerning the expected development, performance, market share, or competitive performance relating to products or services; any statements concerning technological and market trends, the pace of technological innovation, and adoption of new technologies, including artificial intelligence-related and other products and services offered by HPE; any statements regarding macroeconomic trends or events and the anticipated impacts of those trends and events on HPE and our operations, including but not limited to supply chain dynamics (including but not limited to worldwide component shortages), demand for our products and services, and our actions to mitigate such impacts to our business; the scope and duration of geopolitical tensions, including but not limited to the ongoing conflict in the Middle East; and other statements regarding similar or other speculative or prospective matters relating to or impacting the Company, its operations, its customers, its suppliers, or the macroeconomic environment.

Risks, uncertainties, and assumptions include the need to address the many challenges facing HPE's businesses; the competitive pressures faced by HPE's businesses; risks associated with executing HPE's strategy; the impact of macroeconomic and geopolitical trends and events, including but not limited to those mentioned above; the protection of HPE's intellectual property assets, including intellectual property licensed from third parties and intellectual property shared with its former parent; risks associated with HPE's international operations (including from geopolitical events and macroeconomic uncertainties); the development of and transition to new products and services and the enhancement of existing products and services to meet customer needs and respond to emerging technological trends; changes in our product, lease, intellectual property, or real estate portfolio; the successful integration of Juniper Networks, Inc., including our ability to integrate and implement our plans and forecasts and realize our anticipated financial and operational benefits with respect to the consolidated business; the impact of changes to privacy, cybersecurity, environmental, global trade, and other governmental regulations; the efficacy of certain financial metrics in business projections and planning; the judgments required in connection with determining certain financial metrics; utility of segment realignments; and other risks that are described in HPE's Annual Report on Form 10-K for the fiscal year ended October 31, 2025, subsequent Quarterly Reports on Form 10-Q, Current Reports on Form 8-K, and in other filings made by HPE from time to time with the Securities and Exchange Commission.

As in prior periods, the financial information set forth in this presentation, including tax-related items, reflects estimates based on information available at this time. While HPE believes these estimates to be reasonable, these amounts could differ materially from amounts to be reported in the HPE's Annual Report on Form 10-K for the fiscal year ended October 31, 2025. HPE assumes no obligation and does not intend to update these forward-looking statements, except as required by applicable law.

## Use of non-GAAP financial information

HPE's management believes that providing non-GAAP financial measures, in addition to the related GAAP measures, provides investors with greater transparency to the information used by HPE's management in its financial and operational decision-making and allows investors to see HPE's results "through the eyes" of management. We believe that providing this information provides investors with a supplemental view to understand our operating performance and to evaluate the efficacy of the methodology and information used by management to evaluate and measure such performance over time. Disclosure of these non-GAAP financial measures also facilitates the comparison of HPE's operating performance with performance of other companies in HPE's industry that supplement their GAAP results with non-GAAP financial measures that may be calculated in a similar manner. Please refer to the non-GAAP to GAAP reconciliation at the end of this presentation for specific non-GAAP financial measures and reconciliation of those financial measures to GAAP financial measures.

These non-GAAP financial measures may have limitations as analytical tools, and these measures should not be considered in isolation or as a substitute for analysis of HPE's results as reported under GAAP. Some of the limitations in relying on these non-GAAP financial measures are that they may be calculated differently by other companies, limiting the usefulness of those measures for comparative purposes, can differ materially from the comparable GAAP measures due to exclusion of items mentioned above and may not reflect the full economic effect of the loss in value of certain assets. We compensate for the limitations on our use of these non-GAAP financial measures by relying primarily on our GAAP financial statements and using non-GAAP financial measures only as a supplemental. We also provide robust and detailed reconciliations of each non-GAAP financial measure to the most directly comparable GAAP measure, and we encourage investors to review those reconciliations carefully. HPE provides certain forward-looking guidance on a non-GAAP basis only. HPE is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as the Company cannot predict some elements that are included in such directly comparable GAAP financial measure. These elements could have a material impact on the Company's reported GAAP results for the guidance period. Refer to the discussion of non-GAAP financial measures in Appendix 1 for more information.

# Record second quarter results puts HPE two years ahead of fiscal 2028 long-term financial plan

## HPE COMPANY

- Record-breaking revenue of **\$10.7 billion**, up **40% year-over-year**.
- Non-GAAP diluted net earnings per share<sup>1</sup> of **\$0.79**, up **108% year-over-year**.
- Free cash flow<sup>1,3</sup> of **\$915 million**, up **\$1.8 billion year-over-year**.
- Orders more than doubled year-over-year, outpacing revenues, resulting in record-breaking backlog.
- Juniper integration and Catalyst initiative running ahead of schedule and committed synergies.
- Expect to deliver **\$3.40 in non-GAAP diluted net earnings per share<sup>2</sup>**, at the midpoint, and at least **\$3.5 billion in free cash flow<sup>2,3</sup>** in fiscal 2026, two years ahead of the long-term fiscal 2028 financial plan.

## NETWORKING SEGMENT

- Revenue of **\$2.7 billion**, up double digits year-over-year on a normalized<sup>4</sup> basis, with orders growing significantly faster than revenues.
- Campus & Branch orders reached a new record high. Orders grew in the upper 20% range year-over-year<sup>4</sup>.
- Enterprise data center switching orders increased nearly 20% year-over-year<sup>4</sup>.
- Routing orders increased nearly 30% year-over-year<sup>4</sup>, driven by data center interconnect deployments in large cloud service providers.
- Launched fully self-driving networking capabilities through autonomous, agentic AI operations.
- Raising cumulative Networks for AI order target to at least **\$2 billion by the end of fiscal 2026<sup>4</sup>**.

## CLOUD & AI SEGMENT

- Revenue of **\$7.7 billion**, up **23% year-over-year**, with orders growing significantly faster than revenues.
- Traditional server orders increased triple digits year-over-year, as customers modernize compute infrastructure and invest in AI inferencing.
- Record AI Systems backlog of \$5.9 billion including \$1.8 billion in new AI Systems orders.
- Storage had an outstanding quarter; Alletra Storage MP orders increased triple digits, the sixth consecutive quarter of strong year-over-year growth.
- Private Cloud AI orders increased again this quarter, with a growing base of new customer wins.
- GreenLake platform now manages over 6.7 million systems, up from 5.3 million a year ago with approximately 50,000 customers.
- HPE Financial Services delivered a record return on equity.

# Q2 FY26 financial results

- Net revenue of **\$10.7 billion** is up 40% from the prior-year period, up 15% sequentially; above our Q2 fiscal 2026 outlook range
- Non-GAAP gross margin<sup>1</sup> of **36.9%** was up 7.5 pts from the prior-year period and up 0.3 pts sequentially
- Non-GAAP operating profit<sup>1</sup> of **\$1.4 billion** was up 132% from the prior-year period and 20% sequentially
- GAAP diluted net earnings per share of **\$0.44**, up \$1.26 from the prior-year period
- Non-GAAP diluted net earnings per share<sup>1</sup> of **\$0.79**, up \$0.41 from the prior-year period
- Cash flow generated from operations of **\$1.4 billion** and free cash flow<sup>1</sup> of \$915 million
- Returned **\$343 million** to common shareholders in Q2 in the form of dividends and share repurchases
  - Declared Q3 FY26 dividend of \$0.1425 per share payable on July 15<sup>th</sup>, 2026



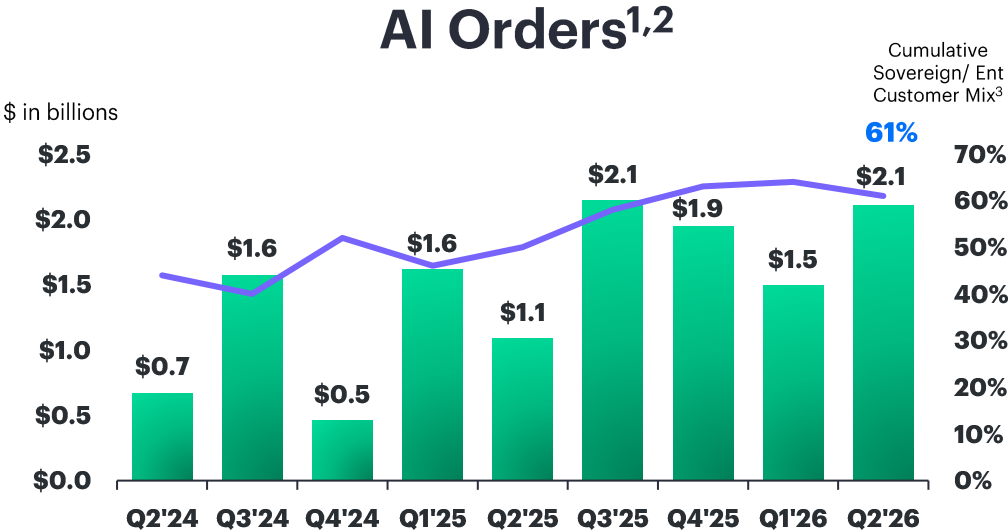
# Q2 FY26 business segment results

|                                              | Net Revenue<br>(in millions) | Year-over-Year<br>Revenue Growth | Operating Profit<br>(Loss) \$<br>(in millions) | Operating Profit<br>% Revenue | Year-over-Year<br>Change in<br>OP % Revenue | Sequential<br>Change in<br>OP % Revenue |
|----------------------------------------------|------------------------------|----------------------------------|------------------------------------------------|-------------------------------|---------------------------------------------|-----------------------------------------|
| <b>Networking</b>                            | \$2,690                      | 148%                             | \$581                                          | 21.6%                         | (3.4) pts                                   | (2.1) pts                               |
| <b>Cloud &amp; AI</b>                        | \$7,707                      | 23%                              | \$954                                          | 12.4%                         | 5.8 pts                                     | 2.2 pts                                 |
| <b>Corporate<br/>Investments &amp; Other</b> | \$281                        | 3%                               | \$(9)                                          | (3.2)%                        | (0.6) pts                                   | 1.4 pts                                 |
| <b>HPE<sup>1</sup></b>                       | <b>\$10,678</b>              | <b>40.0%</b>                     | <b>\$1,423<sup>2</sup></b>                     | <b>13.3%<sup>2</sup></b>      | <b>5.3 pts<sup>2</sup></b>                  | <b>0.6 pts<sup>2</sup></b>              |



Reference endnotes slides in Appendix 2 for footnotes on this slide.

# Record AI backlog driven by strength in AI orders

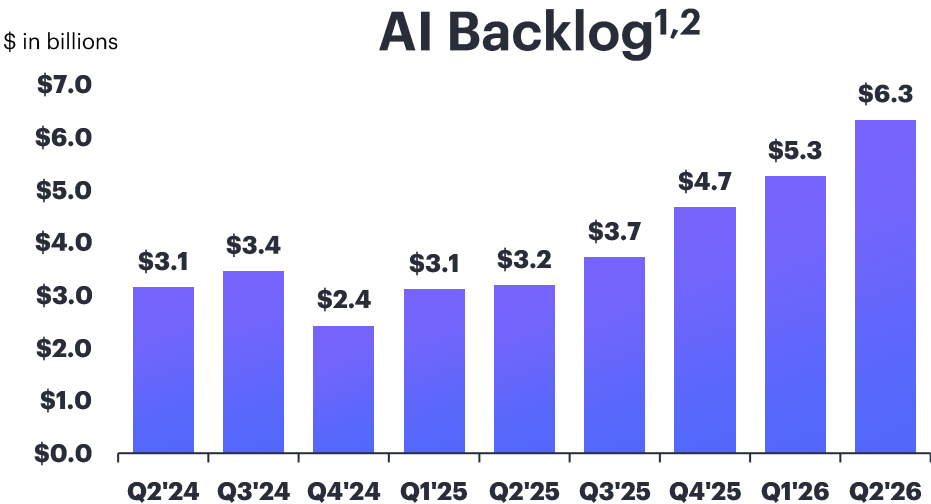


## Accelerating Networks for AI Demand

Increasing cumulative Networks for AI orders guidance to at least \$2 billion by the end of fiscal 2026<sup>4</sup>.

## Strong AI Systems Demand

Generated **\$1.8 billion** in AI Systems orders.



## Record AI Backlog

More than **\$6.3 billion** in AI backlog, with 61% cumulative order mix booked in sovereign and enterprise customer segments.

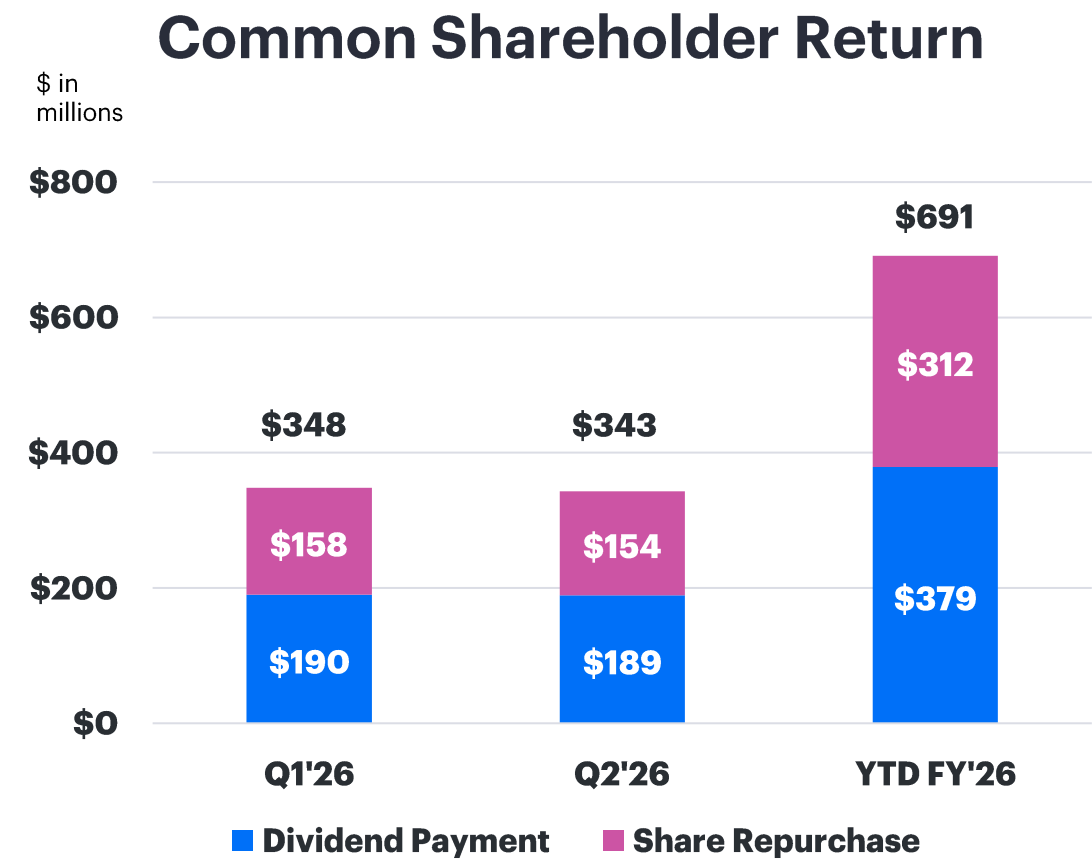
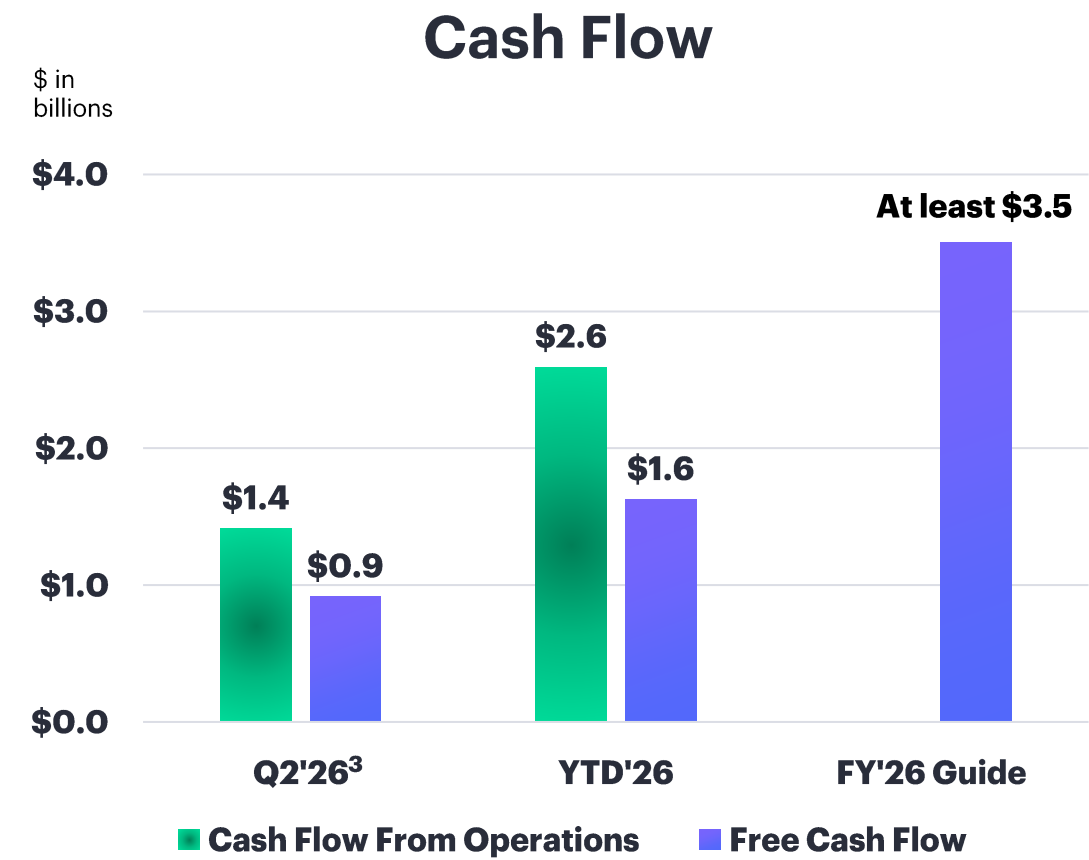
## Record AI Pipeline

Networks for AI and AI Systems sales pipeline remains **multiples of backlog**.



Reference endnotes slides in Appendix 2 for footnotes on this slide.

# Raising fiscal 2026 free cash flow<sup>1</sup> guidance to at least \$3.5 billion<sup>2</sup>

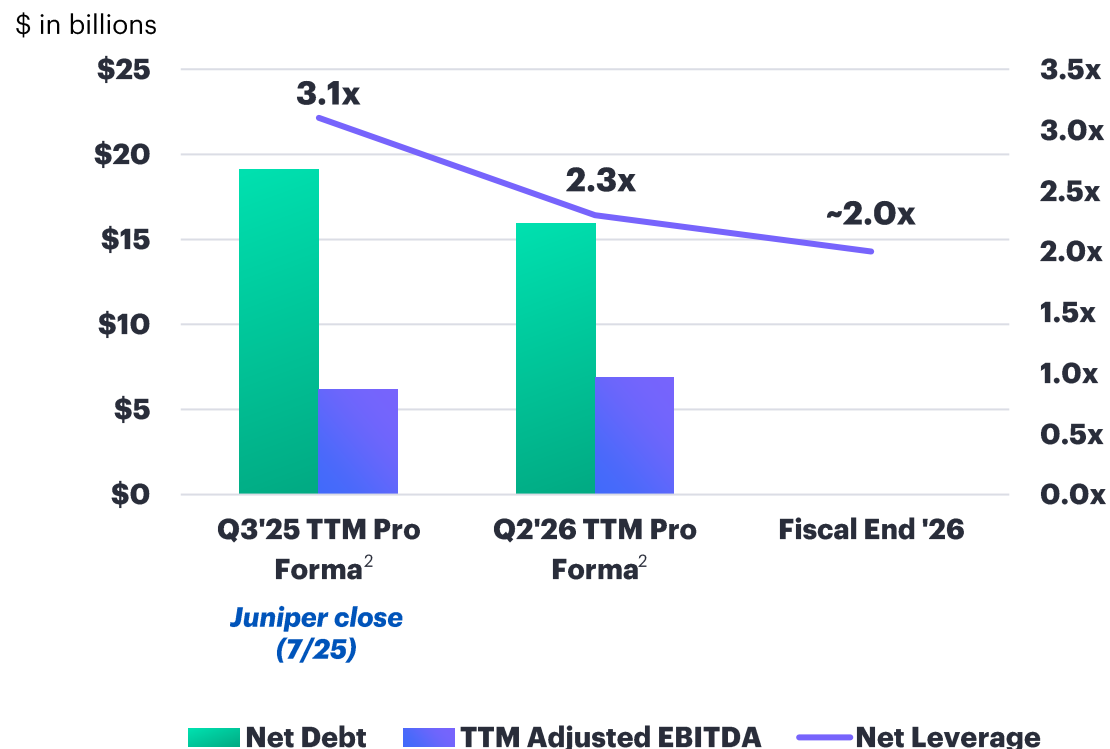


**Returned \$691 million to common shareholders in FY26 YTD**

 Reference endnotes slides in Appendix 2 for footnotes on this slide.

# Expect to achieve ~2x net leverage by end of fiscal 2026

## Net Debt to Adjusted EBITDA<sup>1</sup> Leverage



Total net debt<sup>1</sup> at quarter end totaled \$16.0B<sup>3</sup>, including \$10.5B<sup>4</sup> associated with the financing company.

Targeting fiscal 2026 free cash flow<sup>1,5</sup> of **at least \$3.5B**, supported by strong Networking results and profitable revenue growth in Cloud & AI.

Strong liquidity position with cash and cash equivalents of \$5.3B at quarter-end; after quarter end, **we received \$1.4 billion in H3C gross proceeds.**

**Committed to maintaining our investment grade rating.**

# Fiscal 2026 Outlook

## Q3 Fiscal 2026

|         |                         |
|---------|-------------------------|
| Revenue | \$11.5 – \$12.1 billion |
|---------|-------------------------|

|                      |                 |
|----------------------|-----------------|
| GAAP diluted net EPS | \$0.84 – \$0.89 |
|----------------------|-----------------|

|                                         |                 |
|-----------------------------------------|-----------------|
| Non-GAAP diluted net EPS <sup>1,2</sup> | \$0.88 – \$0.93 |
|-----------------------------------------|-----------------|

## Full Year Fiscal 2026

|                |                                                             |
|----------------|-------------------------------------------------------------|
| Revenue growth | 29% – 33% as reported<br>High teens normalized <sup>3</sup> |
|----------------|-------------------------------------------------------------|

|                              |                         |
|------------------------------|-------------------------|
| GAAP operating profit growth | 885% – 930% as reported |
|------------------------------|-------------------------|

|                                                 |                       |
|-------------------------------------------------|-----------------------|
| Non-GAAP operating profit growth <sup>1,4</sup> | 80% – 85% as reported |
|-------------------------------------------------|-----------------------|

|                      |                 |
|----------------------|-----------------|
| GAAP diluted net EPS | \$2.42 – \$2.52 |
|----------------------|-----------------|

|                                         |                 |
|-----------------------------------------|-----------------|
| Non-GAAP diluted net EPS <sup>1,5</sup> | \$3.35 – \$3.45 |
|-----------------------------------------|-----------------|

|                               |                        |
|-------------------------------|------------------------|
| Free cash flow <sup>1,6</sup> | At least \$3.5 billion |
|-------------------------------|------------------------|

# Fiscal 2026 outlook details

|            | Q3 Fiscal 2026                                                                                                                                                                                                                                                                                                                                                 | Full Year Fiscal 2026                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |
|------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| HPE        | <ul style="list-style-type: none"> <li>Revenue: \$11.5 billion to \$12.1 billion</li> <li>Non-GAAP operating expenses<sup>1</sup>: increase sequentially</li> <li>Non-GAAP operating margin rate<sup>1</sup>: increase sequentially</li> <li>GAAP diluted net EPS: \$0.84 - \$0.89</li> <li>Non-GAAP diluted net EPS<sup>1,2</sup>: \$0.88 - \$0.93</li> </ul> | <ul style="list-style-type: none"> <li>Revenue growth: 29% to 33% on a reported basis, or high teens normalized<sup>3</sup></li> <li>Free Cash Flow<sup>1,4</sup>: At least \$3.5 billion</li> <li>GAAP diluted net EPS: \$2.42 - \$2.52</li> <li>Non-GAAP diluted net EPS<sup>1,5</sup>: \$3.35 - \$3.45</li> <li>Non-GAAP operating profit growth<sup>1,6</sup>: 80% to 85% as reported</li> <li>Non-GAAP interest and other, net<sup>1</sup>: to be an expense of \$420 million to \$460 million</li> <li>Weighted average share count<sup>1</sup> of ~1,440 million</li> </ul> |
| Networking | <ul style="list-style-type: none"> <li>Revenue: up 73% to 78% y/y as reported, approaching 10% normalized<sup>3</sup></li> <li>Operating margin rate: low 20% range</li> </ul>                                                                                                                                                                                 | <ul style="list-style-type: none"> <li>Revenue: up 72% to 75% on an as reported basis, approaching 10% normalized<sup>3</sup></li> <li>Operating margin rate: low 20% range</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                             |
| Cloud & AI | <ul style="list-style-type: none"> <li>Revenue growth: in the high teens</li> <li>Operating margin rate: low to mid teens</li> </ul>                                                                                                                                                                                                                           | <ul style="list-style-type: none"> <li>Revenue growth: low 20% range</li> <li>Operating margin rate: low to mid teens</li> </ul>                                                                                                                                                                                                                                                                                                                                                                                                                                                   |

# Fiscal 2027 financial framework

|                                              |                                                                |                          |                                  |
|----------------------------------------------|----------------------------------------------------------------|--------------------------|----------------------------------|
| REVENUE GROWTH                               | Networking<br>8% to 12%                                        | Cloud & AI<br>8% to 12%  | HPE<br>8% to 12%                 |
| OPERATING MARGIN RATE                        | Networking<br>Mid to high 20%s                                 | Cloud & AI<br>10% to 15% | HPE <sup>1,2</sup><br>12% to 16% |
| NON-GAAP DILUTED NET EPS GROWTH <sup>2</sup> | Expect growth rate of <b>12% to 16%</b> from fiscal 2026       |                          |                                  |
| FREE CASH FLOW <sup>2,3</sup>                | <b>At least \$4.5 billion</b>                                  |                          |                                  |
| RETURN OF CAPITAL                            | Expect to return <b>~75% of free cash flow</b> to shareholders |                          |                                  |

# Supplemental slides

# Networking – Q2 FY26

Revenue

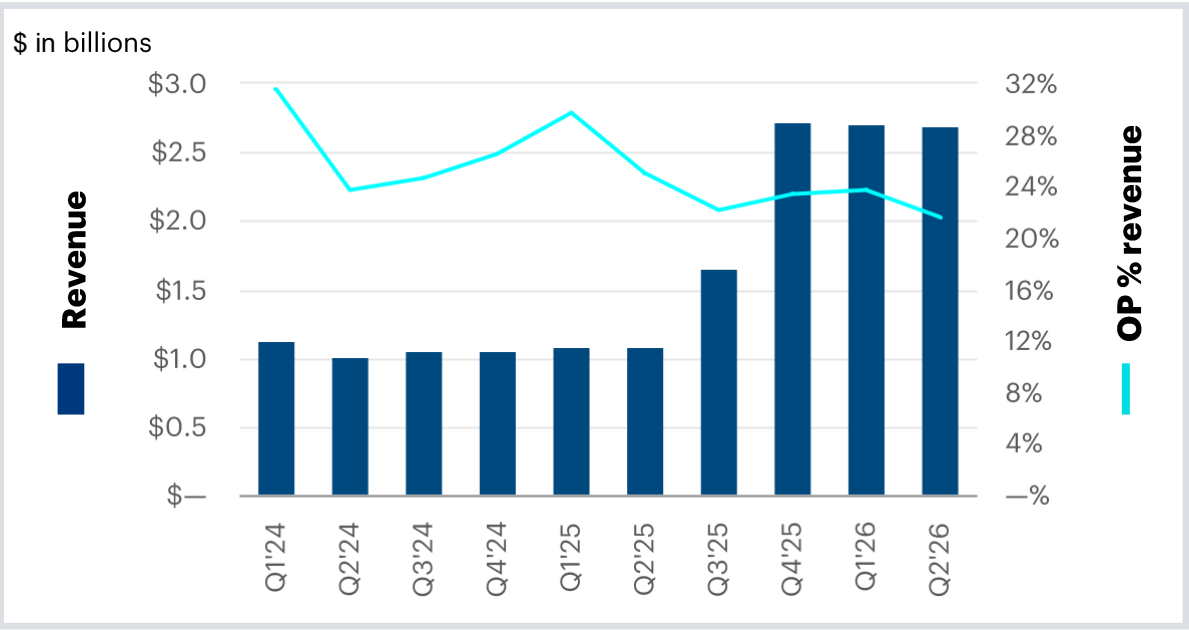
\$2,690 million

▲148.2% y/y<sup>2</sup> ▼0.6% q/q

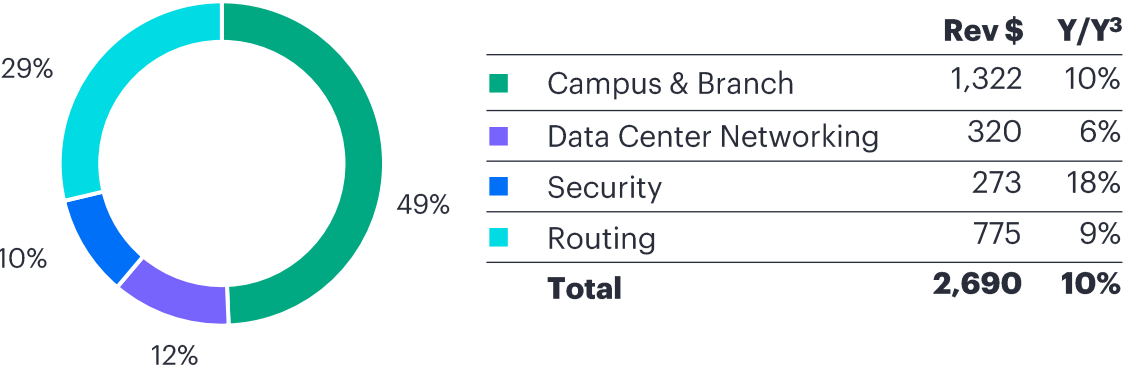
Operating profit<sup>1</sup>

\$581 million

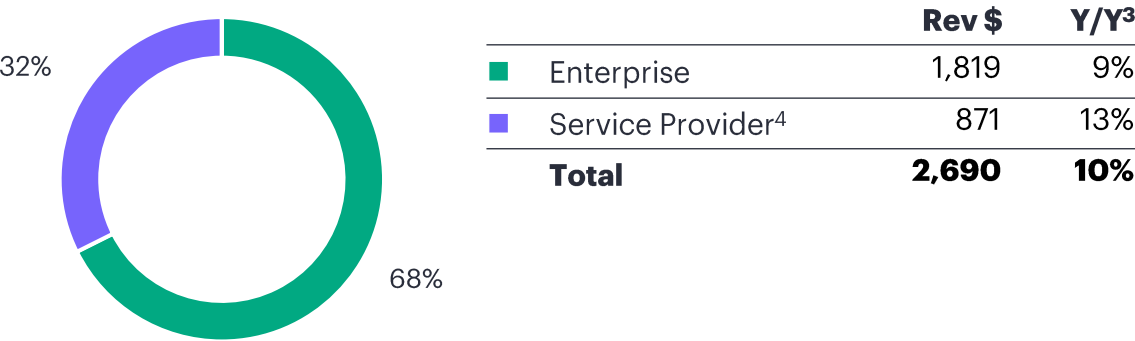
21.6% of revenue



## Revenue by product category



## Revenue by customer vertical



Reference endnotes slides in Appendix 2 for footnotes on this slide.

# Cloud & AI – Q2 FY26

Revenue

\$7,707

million

▲22.9% y/y

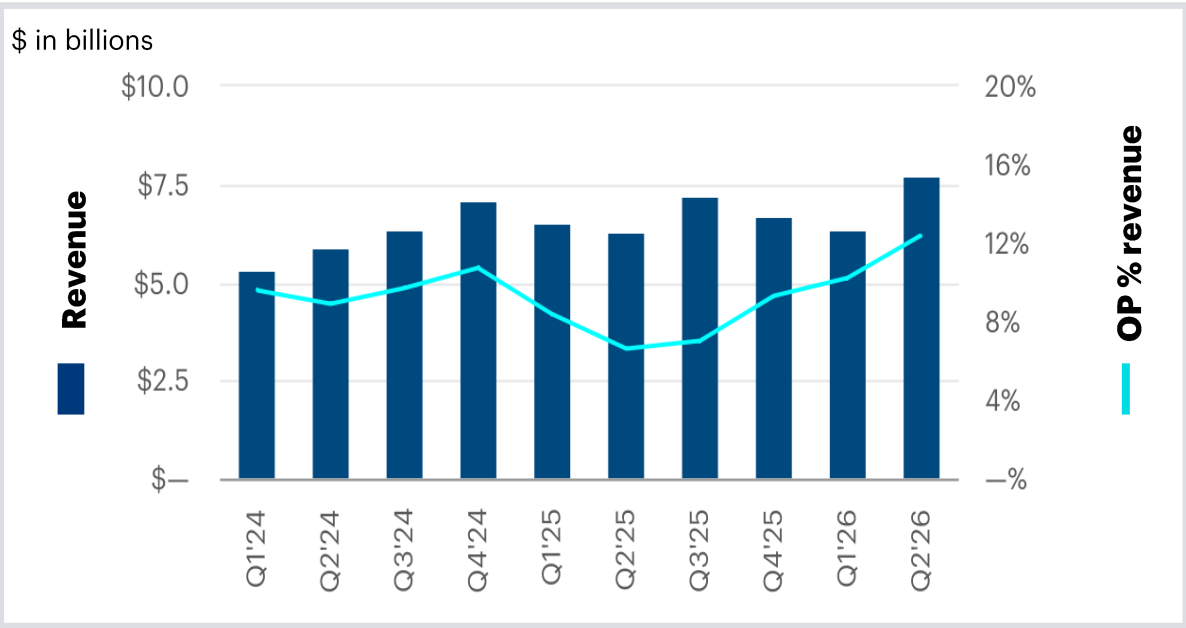
▲21.7% q/q

Operating profit<sup>1</sup>

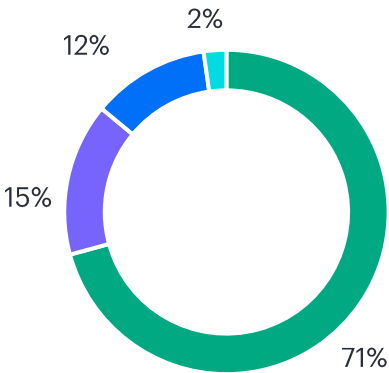
\$954

million

12.4% of revenue



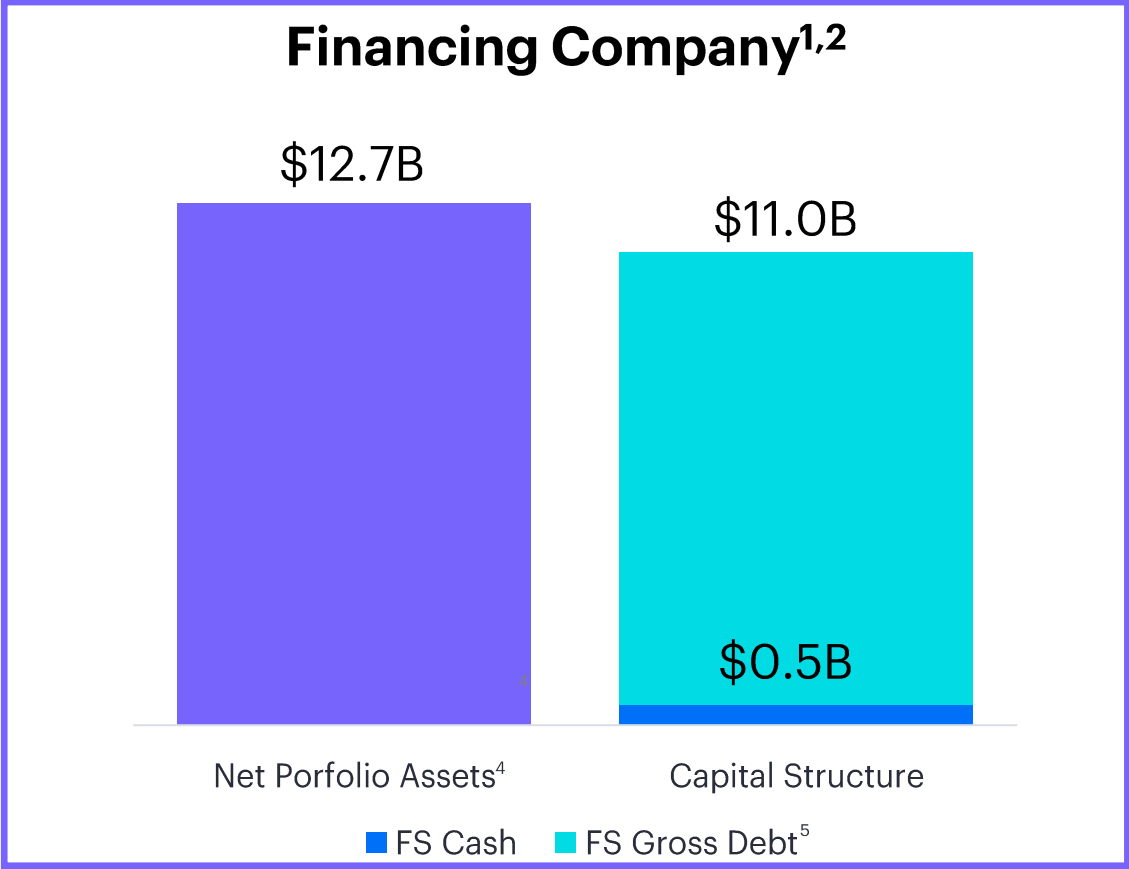
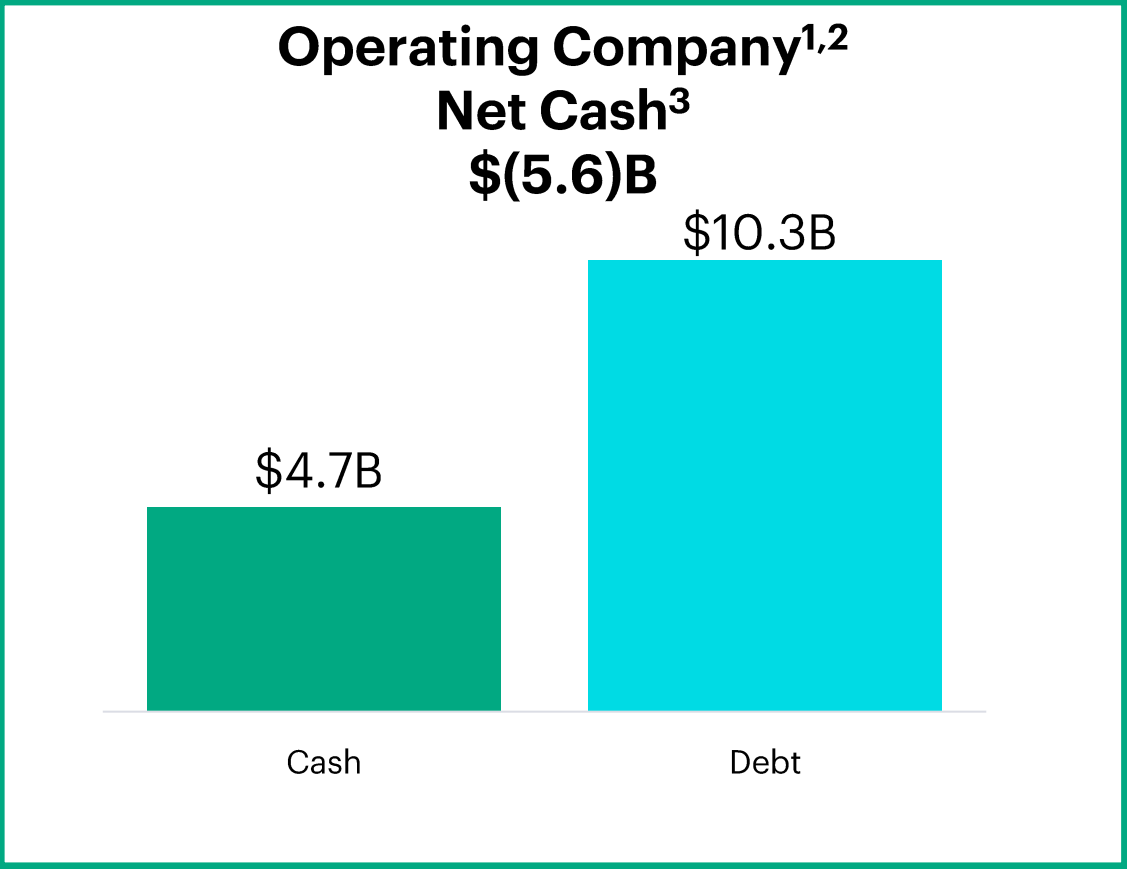
Revenue by product category



|                      | Rev \$ | Y/Y |
|----------------------|--------|-----|
| Server               | 5,454  | 33% |
| Storage <sup>2</sup> | 1,175  | 2%  |
| Financial Services   | 904    | 6%  |
| Other <sup>3</sup>   | 174    | 10% |
| Total                | 7,707  | 23% |

Reference endnotes slides in Appendix 2 for footnotes on this slide.

# Q2 FY26 balance sheet



**Committed to investment-grade rating and healthy balance sheet**

Reference endnotes slides in Appendix 2 for footnotes on this slide.

# Appendix 1

# Revenue Disaggregation - As Reported

|                                         | Q1'24          | Q2'24          | Q3'24          | Q4'24          | Q1'25          |       | Q2'25          |       | Q3'25          |                  | Q4'25          |                  | Q1'26          |                  | Q2'26           |                  |
|-----------------------------------------|----------------|----------------|----------------|----------------|----------------|-------|----------------|-------|----------------|------------------|----------------|------------------|----------------|------------------|-----------------|------------------|
| in millions                             | Amount         | Amount         | Amount         | Amount         | Amount         | Y/Y % | Amount         | Y/Y % | Amount         | Y/Y %            | Amount         | Y/Y %            | Amount         | Y/Y %            | Amount          | Y/Y %            |
| <b>Networking:</b>                      |                |                |                |                |                |       |                |       |                |                  |                |                  |                |                  |                 |                  |
| Campus & Branch                         | \$956          | \$832          | \$858          | \$851          | \$864          | (10%) | \$880          | 6%    | \$1,101        | 28%              | \$1,284        | 51%              | \$1,227        | 42%              | \$1,322         | 50%              |
| Data Center Networking                  | 72             | 79             | 88             | 88             | 92             | 28%   | 96             | 22%   | 180            | 105%             | 354            | 302%             | 444            | 383%             | 320             | 233%             |
| Security                                | 101            | 102            | 105            | 111            | 119            | 18%   | 107            | 5%    | 160            | 52%              | 273            | 146%             | 255            | 114%             | 273             | 155%             |
| Routing                                 | 1              | 1              | 1              | —              | 1              | —%    | 1              | —%    | 213            | N/M <sup>3</sup> | 811            | N/M <sup>3</sup> | 780            | N/M <sup>3</sup> | 775             | N/M <sup>3</sup> |
| <b>Total Networking net revenue</b>     | <b>\$1,130</b> | <b>\$1,014</b> | <b>\$1,052</b> | <b>\$1,050</b> | <b>\$1,076</b> |       | <b>\$1,084</b> |       | <b>\$1,654</b> |                  | <b>\$2,722</b> |                  | <b>\$2,706</b> |                  | <b>\$2,690</b>  |                  |
| <b>Cloud &amp; AI net revenue:</b>      |                |                |                |                |                |       |                |       |                |                  |                |                  |                |                  |                 |                  |
| Server                                  | \$3,380        | \$3,890        | \$4,311        | \$4,775        | \$4,348        | 29%   | \$4,109        | 6%    | \$5,000        | 16%              | \$4,514        | (5%)             | \$4,232        | (3%)             | \$5,454         | 33%              |
| Storage <sup>1</sup>                    | 960            | 994            | 1,010          | 1,247          | 1,055          | 10%   | 1,148          | 16%   | 1,171          | 16%              | 1,106          | (11%)            | 1,061          | 1%               | 1,175           | 2%               |
| Financial Services                      | 873            | 867            | 879            | 893            | 873            | —%    | 856            | (1%)  | 886            | 1%               | 889            | —%               | 876            | —%               | 904             | 6%               |
| Other <sup>2</sup>                      | 103            | 115            | 127            | 157            | 235            | 126%  | 158            | 38%   | 155            | 22%              | 167            | 6%               | 165            | (30%)            | 174             | 10%              |
| <b>Total Cloud &amp; AI net revenue</b> | <b>\$5,316</b> | <b>\$5,866</b> | <b>\$6,327</b> | <b>\$7,072</b> | <b>\$6,511</b> |       | <b>\$6,271</b> |       | <b>\$7,212</b> |                  | <b>\$6,676</b> |                  | <b>\$6,334</b> |                  | <b>\$7,707</b>  |                  |
| <b>Corporate Investments and Other</b>  | <b>\$309</b>   | <b>\$324</b>   | <b>\$331</b>   | <b>\$336</b>   | <b>\$267</b>   |       | <b>\$272</b>   |       | <b>\$270</b>   |                  | <b>\$281</b>   |                  | <b>\$261</b>   |                  | <b>\$281</b>    |                  |
| <b>Total HPE net revenue</b>            | <b>\$6,755</b> | <b>\$7,204</b> | <b>\$7,710</b> | <b>\$8,458</b> | <b>\$7,854</b> |       | <b>\$7,627</b> |       | <b>\$9,136</b> |                  | <b>\$9,679</b> |                  | <b>\$9,301</b> |                  | <b>\$10,678</b> |                  |

1. Storage includes revenue from GreenLake Flex and Software.
2. Other category includes intersegment revenue eliminations and third-party storage solutions.
3. N/M - Not meaningful

# Customer Segmentation - Networking As Reported

|                                     | Q1'24          | Q2'24          | Q3'24          | Q4'24          | Q1'25          |       | Q2'25          |       | Q3'25          |       | Q4'25          |        | Q1'26          |        | Q2'26          |        |
|-------------------------------------|----------------|----------------|----------------|----------------|----------------|-------|----------------|-------|----------------|-------|----------------|--------|----------------|--------|----------------|--------|
| in millions                         | Amount         | Amount         | Amount         | Amount         | Amount         | Y/Y % | Amount         | Y/Y % | Amount         | Y/Y % | Amount         | Y/Y %  | Amount         | Y/Y %  | Amount         | Y/Y %  |
| <b>Networking (Customer):</b>       |                |                |                |                |                |       |                |       |                |       |                |        |                |        |                |        |
| Enterprise                          | \$1,097        | \$977          | \$1,006        | \$993          | \$1,027        | (6%)  | \$1,049        | 7%    | \$1,375        | 37%   | \$1,853        | 87%    | \$1,758        | 71%    | \$1,819        | 73%    |
| Service Provider <sup>1</sup>       | 33             | 37             | 46             | 57             | 49             | 48%   | 35             | (5%)  | 279            | 507%  | 869            | 1,425% | 948            | 1,835% | 871            | 2,389% |
| <b>Total Networking net revenue</b> | <b>\$1,130</b> | <b>\$1,014</b> | <b>\$1,052</b> | <b>\$1,050</b> | <b>\$1,076</b> |       | <b>\$1,084</b> |       | <b>\$1,654</b> |       | <b>\$2,722</b> |        | <b>\$2,706</b> |        | <b>\$2,690</b> |        |

1. Includes telco and cloud providers.

# Revenue Disaggregation & Customer Segmentation - Networking Normalized<sup>1</sup>

|                                     | Q1'24          | Q2'24          | Q3'24          | Q4'24          | Q1'25          |       | Q2'25          |       | Q3'25          |       | Q4'25          |       | Q1'26          |       | Q2'26           |       |
|-------------------------------------|----------------|----------------|----------------|----------------|----------------|-------|----------------|-------|----------------|-------|----------------|-------|----------------|-------|-----------------|-------|
| in millions                         | Amount         | Amount         | Amount         | Amount         | Amount         | Y/Y % | Amount         | Y/Y % | Amount         | Y/Y % | Amount         | Y/Y % | Amount         | Y/Y % | Amount          | Y/Y % |
| <b>Networking (Product):</b>        |                |                |                |                |                |       |                |       |                |       |                |       |                |       |                 |       |
| Campus & Branch                     | \$1,279        | \$1,077        | \$1,153        | \$1,166        | \$1,204        | (6%)  | \$1,203        | 12%   | \$1,339        | 16%   | \$1,284        | 10%   | \$1,227        | 2%    | \$ 1,322        | 10%   |
| Data Center Networking              | 245            | 253            | 280            | 356            | 338            | 38%   | 301            | 19%   | 408            | 46%   | 354            | (1%)  | 444            | 31%   | 320             | 6%    |
| Security                            | 248            | 225            | 232            | 254            | 269            | 8%    | 231            | 3%    | 251            | 8%    | 273            | 7%    | 255            | (5%)  | 273             | 18%   |
| Routing                             | 719            | 579            | 589            | 611            | 711            | (1%)  | 709            | 22%   | 640            | 9%    | 811            | 33%   | 780            | 10%   | 775             | 9%    |
| <b>Total Networking net revenue</b> | <b>\$2,491</b> | <b>\$2,134</b> | <b>\$2,254</b> | <b>\$2,387</b> | <b>\$2,522</b> |       | <b>\$2,444</b> |       | <b>\$2,638</b> |       | <b>\$2,722</b> |       | <b>\$2,706</b> |       | <b>\$ 2,690</b> |       |
| <b>Networking (Customer):</b>       |                |                |                |                |                |       |                |       |                |       |                |       |                |       |                 |       |
| Enterprise                          | \$1,778        | \$1,522        | \$1,616        | \$1,627        | \$1,729        | (3%)  | \$1,676        | 10%   | \$1,811        | 12%   | \$1,853        | 14%   | \$1,758        | 2%    | \$1,819         | 9%    |
| Service Provider <sup>2</sup>       | 713            | 612            | 638            | 760            | 793            | 11%   | 768            | 25%   | 827            | 30%   | 869            | 14%   | 948            | 20%   | 871             | 13%   |
| <b>Total Networking net revenue</b> | <b>\$2,491</b> | <b>\$2,134</b> | <b>\$2,254</b> | <b>\$2,387</b> | <b>\$2,522</b> |       | <b>\$2,444</b> |       | <b>\$2,638</b> |       | <b>\$2,722</b> |       | <b>\$2,706</b> |       | <b>\$2,690</b>  |       |

1. This normalized combined Networking financial information represents the summation of the standalone financial information of the Networking segment reported by the Company and to include the adjusted financial information for Juniper Networks. This financial information has not been prepared in accordance with Article 11 of Regulation S-X and does not give effect to the pro forma adjustments that might be required in connection with the preparation of pro forma financial information in accordance with Article 11 of Regulation S-X, and is not indicative of what the combined segment's performance would have been had HPE and Juniper Networks been a combined company for the periods presented. This financial information has been presented solely to facilitate comparisons of the newly combined Networking business since HPE and Juniper Networks observe different fiscal years, with HPE's fiscal year ending on October 31, and Juniper Networks' fiscal year having ended on December 31. This combined Networking financial information was prepared to reconcile the differences in the quarterly reporting periods. The internally prepared monthly financial data and the resulting figures above are based on what we believe to be reasonable estimates, calculations, and processes. However, Juniper Networks' internally prepared monthly financial data has not been reviewed or audited by either Juniper Networks, Juniper Networks' auditors, or HPE's auditors. Furthermore, the above amounts will differ from as-reported amounts in HPE's or Juniper's SEC filings. As such, readers should not rely on this information as indicative of past performance of the Networking business nor treat this as indicative of historical or future performance of the Networking business. The table below summarizes the reconciling amounts necessary to arrive at the reported Networking revenue (in millions):

| Q1'24   | Q2'24   | Q3'24   | Q4'24   | Q1'25   | Q2'25   | Q3'25 |
|---------|---------|---------|---------|---------|---------|-------|
| \$1,361 | \$1,120 | \$1,202 | \$1,337 | \$1,446 | \$1,360 | \$984 |

2. Includes telco and cloud providers.

# Reconciliation of Segment Operating Profit to GAAP & Non-GAAP Operating Profit

| In millions                                               | Q1'24        | Q2'24        | Q3'24        | Q4'24        | Q1'25        | Q2'25            | Q3'25        | Q4'25        | Q1'26        | Q2'26        |
|-----------------------------------------------------------|--------------|--------------|--------------|--------------|--------------|------------------|--------------|--------------|--------------|--------------|
| Networking                                                | \$357        | \$240        | \$259        | \$278        | \$320        | \$271            | \$365        | \$638        | \$640        | \$581        |
| Cloud & AI                                                | 508          | 525          | 612          | 756          | 547          | 414              | 504          | 620          | 645          | 954          |
| Corporate Investments and Other                           | (14)         | (12)         | (12)         | (6)          | (8)          | (7)              | (19)         | 5            | (12)         | (9)          |
| <b>Total Segment Operating Profit<sup>1</sup></b>         | <b>851</b>   | <b>753</b>   | <b>859</b>   | <b>1,028</b> | <b>859</b>   | <b>678</b>       | <b>850</b>   | <b>1,263</b> | <b>1,273</b> | <b>1,526</b> |
| Unallocated corporate costs and eliminations <sup>1</sup> | (76)         | (69)         | (88)         | (90)         | (79)         | (65)             | (73)         | (80)         | (91)         | (103)        |
| <b>Non-GAAP Operating Profit</b>                          | <b>775</b>   | <b>684</b>   | <b>771</b>   | <b>938</b>   | <b>780</b>   | <b>613</b>       | <b>777</b>   | <b>1,183</b> | <b>1,182</b> | <b>1,423</b> |
| Amortization of intangible assets                         | (71)         | (67)         | (60)         | (69)         | (38)         | (37)             | (126)        | (310)        | (311)        | (323)        |
| Impairment charges                                        | —            | —            | —            | —            | —            | (1,361)          | —            | (260)        | —            | —            |
| Stock-based compensation expense                          | (141)        | (120)        | (80)         | (89)         | (154)        | (116)            | (177)        | (196)        | (216)        | (218)        |
| H3C divestiture related severance costs                   | —            | —            | —            | —            | (77)         | (20)             | —            | —            | —            | —            |
| Cost reduction program                                    | —            | —            | —            | —            | —            | (146)            | (2)          | (127)        | (23)         | (30)         |
| Acquisition, disposition and other charges <sup>2</sup>   | (38)         | (72)         | (84)         | (87)         | (78)         | (42)             | (225)        | (298)        | (162)        | (105)        |
| <b>GAAP Operating Profit (Loss)</b>                       | <b>\$525</b> | <b>\$425</b> | <b>\$547</b> | <b>\$693</b> | <b>\$433</b> | <b>(\$1,109)</b> | <b>\$247</b> | <b>(\$8)</b> | <b>\$470</b> | <b>\$747</b> |

- Effective at the beginning of the first quarter of fiscal 2026, HPE implemented an organizational change by (i) merging the Server, Hybrid Cloud, and Financial Services business segments into a new segment named Cloud & AI and (ii) transferring the Telco and Instant On businesses to Corporate Investments and Other from Networking. The Company reflected these changes to its segment information retrospectively.
- Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

# Reconciliation of Operating Cash Flow to Free Cash Flow<sup>1</sup>

| in millions                                                                    | Q2'25   | Q3'25   | Q4'25   | Q1'26   | Q2'26   |
|--------------------------------------------------------------------------------|---------|---------|---------|---------|---------|
| Net cash (used in) provided by operating activities                            | (\$461) | \$1,305 | \$2,465 | \$1,178 | \$1,410 |
| Investment in property, plant and equipment and software assets                | (547)   | (576)   | (641)   | (569)   | (583)   |
| Proceeds from sale of property, plant and equipment                            | 80      | 90      | 126     | 66      | 130     |
| Effect of exchange rate changes on cash, cash equivalents, and restricted cash | 81      | (29)    | (30)    | 33      | (42)    |
| Free cash flow <sup>1</sup>                                                    | (\$847) | \$790   | \$1,920 | \$708   | \$915   |

1. Free cash flow represents cash flow from operations, less net capital expenditures (investments in property, plant & equipment (“PP&E”) and software assets less proceeds from the sale of PP&E), and adjusted for the effect of exchange rate fluctuations on cash, cash equivalents, and restricted cash.

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# Reconciliation of TTM<sup>1</sup> Operating Profit to Non-GAAP Operating Profit and Adjusted EBITDA

|                                                         | HPE            | Juniper Networks | Pro Forma Q3'25 TTM  | HPE                   | Juniper Networks | Pro Forma Q2'26 TTM |
|---------------------------------------------------------|----------------|------------------|----------------------|-----------------------|------------------|---------------------|
| <b>GAAP Operating Profit</b>                            | <b>\$264</b>   | <b>\$399</b>     | <b>\$663</b>         | <b>\$1,456</b>        | <b>(\$2)</b>     | <b>\$1,454</b>      |
| Acquisition, disposition and other charges <sup>2</sup> | 432            | 108              | 540                  | 790                   | 43               | 833                 |
| Stock-based compensation expense                        | 536            | 244              | 780                  | 807                   | 34               | 841                 |
| Amortization of intangible assets                       | 270            | 39               | 309                  | 1,070                 | 7                | 1,077               |
| Cost reduction program                                  | 148            | —                | 148                  | 182                   | —                | 182                 |
| Impairment charges                                      | 1,361          | —                | 1,361                | 260                   | —                | 260                 |
| H3C divestiture related severance costs                 | 97             | —                | 97                   | —                     | —                | —                   |
| Other                                                   | —              | 6                | 6                    | —                     | 6                | 6                   |
| <b>Non-GAAP Operating Profit</b>                        | <b>3,108</b>   | <b>796</b>       | <b>3,904</b>         | <b>4,565</b>          | <b>88</b>        | <b>4,653</b>        |
| Depreciation and amortization                           | 2,500          | 100              | 2,600                | 3,313                 | 18               | 3,331               |
| Amortization of intangible assets                       | (270)          | (39)             | (309)                | (1,070)               | (7)              | (1,077)             |
| <b>Adjusted EBITDA</b>                                  | <b>\$5,338</b> | <b>\$857</b>     | <b>\$6,195</b>       | <b>\$6,808</b>        | <b>\$99</b>      | <b>\$6,907</b>      |
| <b>Calculation of Total Debt and Net Debt</b>           |                |                  | <b>July 31, 2025</b> | <b>April 30, 2026</b> |                  |                     |
| Notes payable and short-term borrowings                 |                |                  | \$6,799              |                       |                  | \$3,009             |
| Long-term debt                                          |                |                  | 16,854               |                       |                  | 18,237              |
| Total GAAP debt                                         |                |                  | 23,653               |                       |                  | 21,246              |
| Less: cash                                              |                |                  | (4,571)              |                       |                  | (5,292)             |
| Total net debt                                          |                |                  | \$19,082             |                       |                  | \$15,954            |
| <b>Adjusted EBITDA</b>                                  |                |                  | <b>6,195</b>         |                       |                  | <b>6,907</b>        |
| <b>Leverage ratio- Total net debt<sup>3</sup></b>       |                |                  | <b>3.1</b>           |                       |                  | <b>2.3</b>          |

1. Trailing twelve months ("TTM") refers to the period encompassing the respective periods presented, and the eleven months preceding July 2025 and April 2026, respectively.

2. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

3. Calculated as Total net debt divided by Adjusted EBITDA.

# Consolidated GAAP Results

| \$ in millions, except percentages and per share amounts       | Q2'25            | Q3'25          | Q4'25          | Q1'26          | Q2'26           | Y/Y              | Q/Q              |
|----------------------------------------------------------------|------------------|----------------|----------------|----------------|-----------------|------------------|------------------|
| <b>Revenue</b>                                                 | <b>\$7,627</b>   | <b>\$9,136</b> | <b>\$9,679</b> | <b>\$9,301</b> | <b>\$10,678</b> | 40.0%            | 14.8%            |
| Cost of sales                                                  | 5,458            | 6,464          | 6,438          | 5,961          | 6,778           | 24.2%            | 13.7%            |
| <b>Gross profit</b>                                            | <b>2,169</b>     | <b>2,672</b>   | <b>3,241</b>   | <b>3,340</b>   | <b>3,900</b>    | 79.8%            | 16.8%            |
| <i>Gross profit as a % of revenue</i>                          | 28.4%            | 29.2%          | 33.5%          | 35.9%          | 36.5%           |                  |                  |
| Research and development                                       | 540              | 622            | 881            | 744            | 922             | 70.7%            | 23.9%            |
| Selling, general and administrative                            | 1,298            | 1,496          | 1,642          | 1,698          | 1,830           | 41.0%            | 7.8%             |
| Impairment charges                                             | 1,361            | —              | 260            | —              | —               | (100.0)%         | —%               |
| Amortization of intangibles                                    | 37               | 126            | 310            | 311            | 323             | 773.0%           | 3.9%             |
| Acquisition, disposition and other charges                     | 42               | 181            | 156            | 117            | 78              | 85.7%            | (33.3)%          |
| <b>Total operating expenses</b>                                | <b>3,278</b>     | <b>2,425</b>   | <b>3,249</b>   | <b>2,870</b>   | <b>3,153</b>    | (3.8)%           | 9.9%             |
| Operating expenses as a % of revenue                           | 43.0%            | 26.5%          | 33.6%          | 30.9%          | 29.5%           |                  |                  |
| <b>Operating (loss) profit</b>                                 | <b>(1,109)</b>   | <b>247</b>     | <b>(8)</b>     | <b>470</b>     | <b>747</b>      | 167.4%           | 58.9%            |
| <i>Operating (loss) profit as a % of revenue</i>               | (14.5)%          | 2.7%           | (0.1)%         | 5.1%           | 7.0%            |                  |                  |
| Interest and other, net                                        | 39               | 8              | (261)          | (54)           | (73)            | (287.2)%         | (35.2)%          |
| Gain on sale of a business                                     | —                | 1              | 3              | —              | —               | —%               |                  |
| Earnings from equity interests                                 | 25               | 32             | 5              | 17             | 25              | —%               | 47.1%            |
| <b>Pre-tax (loss) earnings</b>                                 | <b>(1,045)</b>   | <b>288</b>     | <b>(261)</b>   | <b>433</b>     | <b>699</b>      | 166.9%           | 61.4%            |
| Income tax                                                     | (5)              | 17             | 436            | 19             | (75)            | N/M <sup>1</sup> | N/M <sup>1</sup> |
| Tax rate %                                                     | (0.5)%           | (6.5)%         | 167.0%         | (4.4)%         | 10.7%           |                  |                  |
| <b>Net (loss) earnings attributable to HPE</b>                 | <b>(1,050)</b>   | <b>305</b>     | <b>175</b>     | <b>452</b>     | <b>624</b>      | 159.4%           | 38.1%            |
| Preferred stock dividends                                      | (29)             | (29)           | (29)           | (29)           | (29)            | —%               | —%               |
| <b>Net (loss) earnings attributable to common stockholders</b> | <b>(\$1,079)</b> | <b>\$276</b>   | <b>\$146</b>   | <b>\$423</b>   | <b>\$595</b>    | 155.1%           | 40.7%            |
| Diluted net EPS                                                | (\$0.82)         | \$0.21         | \$0.11         | \$0.31         | \$0.44          | 153.7%           | 41.9%            |

1. N/M - Not meaningful

# Consolidated Non-GAAP Results

| \$ in millions, except percentages and per share amounts | Q2'25          | Q3'25          | Q4'25          | Q1'26          | Q2'26           | Y/Y              | Q/Q   |
|----------------------------------------------------------|----------------|----------------|----------------|----------------|-----------------|------------------|-------|
| <b>Revenue</b>                                           | <b>\$7,627</b> | <b>\$9,136</b> | <b>\$9,679</b> | <b>\$9,301</b> | <b>\$10,678</b> | 40.0%            | 14.8% |
| Cost of sales                                            | 5,383          | 6,404          | 6,160          | 5,898          | 6,741           | 25.2%            | 14.3% |
| <b>Gross profit</b>                                      | <b>2,244</b>   | <b>2,732</b>   | <b>3,519</b>   | <b>3,403</b>   | <b>3,937</b>    | 75.4%            | 15.7% |
| <i>Gross profit as a % of revenue</i>                    | 29.4%          | 29.9%          | 36.4%          | 36.6%          | 36.9%           |                  |       |
| Research and development                                 | 472            | 587            | 808            | 659            | 827             | 75.2%            | 25.5% |
| Selling, general and administrative                      | 1,159          | 1,368          | 1,528          | 1,562          | 1,687           | 45.6%            | 8.0%  |
| <b>Total operating expenses</b>                          | <b>1,631</b>   | <b>1,955</b>   | <b>2,336</b>   | <b>2,221</b>   | <b>2,514</b>    | 54.1%            | 13.2% |
| <i>Operating expenses as a % of revenue</i>              | 21.4%          | 21.4%          | 24.1%          | 23.9%          | 23.5%           |                  |       |
| <b>Operating profit</b>                                  | <b>613</b>     | <b>777</b>     | <b>1,183</b>   | <b>1,182</b>   | <b>1,423</b>    | 132.1%           | 20.4% |
| <i>Operating profit as a % of revenue</i>                | 8.0%           | 8.5%           | 12.2%          | 12.7%          | 13.3%           |                  |       |
| Interest and other, net                                  | 9              | (67)           | (148)          | (101)          | (102)           | N/M <sup>1</sup> | 1.0%  |
| Earnings from equity interests                           | 19             | 32             | 16             | —              | —               | (100.0)%         | —%    |
| <b>Pre-tax earnings</b>                                  | <b>641</b>     | <b>742</b>     | <b>1,051</b>   | <b>1,081</b>   | <b>1,321</b>    | 106.1%           | 22.2% |
| Income tax                                               | (96)           | (111)          | (158)          | (151)          | (185)           | 92.7%            | 22.5% |
| Tax rate %                                               | 15.0%          | 15.0%          | 15.0%          | 14.0%          | 14.0%           |                  |       |
| <b>Net earnings attributable to HPE</b>                  | <b>545</b>     | <b>631</b>     | <b>893</b>     | <b>930</b>     | <b>1,136</b>    | 108.4%           | 22.2% |
| Preferred stock dividends                                | (29)           | (29)           | (29)           | (29)           | (29)            | —%               | —%    |
| <b>Net earnings attributable to common stockholders</b>  | <b>\$516</b>   | <b>\$602</b>   | <b>\$864</b>   | <b>\$901</b>   | <b>\$1,107</b>  | 114.5%           | 22.9% |
| Diluted net EPS                                          | \$0.38         | \$0.44         | \$0.62         | \$0.65         | \$0.79          | 107.9%           | 21.5% |

# Supplemental Reconciliations: GAAP to Non-GAAP Gross Profit and Operating Profit

| \$ in millions                                          | Q1'24          | Q2'24          | Q3'24          | Q4'24          | Q1'25          | Q2'25            | Q3'25          | Q4'25          | Q1'26          | Q2'26          |
|---------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|------------------|----------------|----------------|----------------|----------------|
| <b>GAAP gross profit</b>                                | <b>\$2,457</b> | <b>\$2,376</b> | <b>\$2,439</b> | <b>\$2,606</b> | <b>\$2,295</b> | <b>\$2,169</b>   | <b>\$2,672</b> | <b>\$3,241</b> | <b>\$3,340</b> | <b>\$3,900</b> |
| <b>Non-GAAP adjustments:</b>                            |                |                |                |                |                |                  |                |                |                |                |
| Stock-based compensation expense                        | 16             | 14             | 9              | 10             | 17             | 13               | 10             | 9              | 24             | 23             |
| Acquisition, disposition and other charges              | (25)           | (7)            | 2              | (4)            | (3)            | —                | 50             | 189            | 34             | 6              |
| Cost reduction program                                  | —              | —              | —              | —              | —              | 46               | —              | 80             | 5              | 8              |
| H3C divestiture related severance costs                 | —              | —              | —              | —              | 1              | 16               | —              | —              | —              | —              |
| <b>Total adjustments to gross profit</b>                | <b>(9)</b>     | <b>7</b>       | <b>11</b>      | <b>6</b>       | <b>15</b>      | <b>75</b>        | <b>60</b>      | <b>278</b>     | <b>63</b>      | <b>37</b>      |
| <b>Non-GAAP gross profit</b>                            | <b>\$2,448</b> | <b>\$2,383</b> | <b>\$2,450</b> | <b>\$2,612</b> | <b>\$2,310</b> | <b>\$2,244</b>   | <b>\$2,732</b> | <b>\$3,519</b> | <b>\$3,403</b> | <b>\$3,937</b> |
| <b>GAAP earnings (loss) from operations</b>             | <b>\$525</b>   | <b>\$425</b>   | <b>\$547</b>   | <b>\$693</b>   | <b>\$433</b>   | <b>(\$1,109)</b> | <b>\$247</b>   | <b>(\$8)</b>   | <b>\$470</b>   | <b>\$747</b>   |
| <b>Non-GAAP adjustments:</b>                            |                |                |                |                |                |                  |                |                |                |                |
| Amortization of Intangibles                             | 71             | 67             | 60             | 69             | 38             | 37               | 126            | 310            | 311            | 323            |
| Stock-based compensation expense                        | 141            | 120            | 80             | 89             | 154            | 116              | 177            | 196            | 216            | 218            |
| Acquisition, disposition and other charges <sup>1</sup> | 38             | 72             | 84             | 87             | 78             | 42               | 225            | 298            | 162            | 105            |
| Cost reduction program                                  | —              | —              | —              | —              | —              | 146              | 2              | 127            | 23             | 30             |
| H3C divestiture related severance costs                 | —              | —              | —              | —              | 77             | 20               | —              | —              | —              | —              |
| Impairment charges                                      | —              | —              | —              | —              | —              | 1,361            | —              | 260            | —              | —              |
| <b>Total adjustments to earnings from operations</b>    | <b>250</b>     | <b>259</b>     | <b>224</b>     | <b>245</b>     | <b>347</b>     | <b>1,722</b>     | <b>530</b>     | <b>1,191</b>   | <b>712</b>     | <b>676</b>     |
| <b>Non-GAAP earnings from operations</b>                | <b>\$775</b>   | <b>\$684</b>   | <b>\$771</b>   | <b>\$938</b>   | <b>\$780</b>   | <b>\$613</b>     | <b>\$777</b>   | <b>\$1,183</b> | <b>\$1,182</b> | <b>\$1,423</b> |

1. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

# Supplemental Reconciliations: GAAP to Non-GAAP Net Income

|                                                                          | Q1'25        |               | Q2'25            |                 | Q3'25        |               | Q4'25        |               | Q1'26        |               | Q2'26          |               |
|--------------------------------------------------------------------------|--------------|---------------|------------------|-----------------|--------------|---------------|--------------|---------------|--------------|---------------|----------------|---------------|
| \$ in millions, except per share amounts                                 | Amount       | per share     | Amount           | per share       | Amount       | per share     | Amount       | per share     | Amount       | per share     | Amount         | per share     |
| <b>GAAP net earnings (loss) attributable to common stockholders</b>      | <b>\$598</b> |               | <b>(\$1,079)</b> | <b>(\$0.82)</b> | <b>\$276</b> |               | <b>\$146</b> | <b>\$0.11</b> | <b>\$423</b> | <b>\$0.31</b> | <b>\$595</b>   |               |
| Preferred stock dividends                                                | 29           |               | 29               |                 | 29           |               | 29           |               | 29           |               | 29             |               |
| <b>GAAP net earnings (loss) attributable to HPE</b>                      | <b>627</b>   | <b>\$0.44</b> | <b>(1,050)</b>   |                 | <b>305</b>   | <b>\$0.21</b> | <b>175</b>   |               | <b>452</b>   |               | <b>624</b>     | <b>\$0.44</b> |
| <b>Non-GAAP adjustments:</b>                                             |              |               |                  |                 |              |               |              |               |              |               |                |               |
| Amortization of intangible assets                                        | 38           | 0.03          | 37               | 0.03            | 126          | 0.09          | 310          | 0.23          | 311          | 0.23          | 323            | 0.23          |
| Stock-based compensation expense                                         | 154          | 0.11          | 116              | 0.09            | 177          | 0.12          | 196          | 0.14          | 216          | 0.16          | 218            | 0.15          |
| Acquisition, disposition and other charges <sup>1</sup>                  | 78           | 0.05          | 42               | 0.03            | 225          | 0.17          | 298          | 0.22          | 162          | 0.12          | 105            | 0.08          |
| Cost reduction program                                                   | —            | —             | 146              | 0.11            | 2            | —             | 127          | 0.09          | 23           | 0.02          | 30             | 0.02          |
| H3C divestiture related severance costs                                  | 77           | 0.05          | 20               | 0.02            | —            | —             | —            | —             | —            | —             | —              | —             |
| Impairment charges                                                       | —            | —             | 1,361            | 1.03            | —            | —             | 260          | 0.19          | —            | —             | —              | —             |
| Adjustments for equity interests                                         | —            | —             | —                | —               | —            | —             | —            | —             | (17)         | (0.01)        | (25)           | (0.02)        |
| (Gain) loss on equity investments, net                                   | (2)          | —             | (7)              | (0.01)          | 1            | —             | 148          | 0.10          | (14)         | (0.01)        | 3              | —             |
| Gain on sale of a business                                               | (244)        | (0.17)        | —                | —               | (1)          | —             | (3)          | —             | —            | —             | —              | —             |
| Litigation judgment                                                      | —            | —             | —                | —               | (52)         | (0.04)        | —            | —             | —            | —             | —              | —             |
| Other adjustments                                                        | (29)         | (0.02)        | (29)             | (0.02)          | (24)         | (0.02)        | (24)         | (0.02)        | (33)         | (0.03)        | (32)           | (0.04)        |
| Adjustments for taxes                                                    | (15)         | —             | (91)             | (0.08)          | (128)        | (0.09)        | (594)        | (0.44)        | (170)        | (0.14)        | (110)          | (0.07)        |
| <b>Total adjustments to GAAP net earnings (loss) attributable to HPE</b> | <b>57</b>    |               | <b>1,595</b>     |                 | <b>326</b>   |               | <b>718</b>   |               | <b>478</b>   |               | <b>512</b>     |               |
| <b>Non-GAAP net earnings attributable to HPE</b>                         | <b>684</b>   | <b>\$0.49</b> | <b>545</b>       | <b>\$0.38</b>   | <b>631</b>   | <b>\$0.44</b> | <b>893</b>   | <b>\$0.62</b> | <b>930</b>   | <b>\$0.65</b> | <b>1,136</b>   | <b>\$0.79</b> |
| Preferred stock dividends                                                | (29)         |               | (29)             |                 | (29)         |               | (29)         |               | (29)         |               | (29)           |               |
| <b>Non-GAAP net earnings attributable to common stockholders</b>         | <b>\$655</b> |               | <b>\$516</b>     |                 | <b>\$602</b> |               | <b>\$864</b> |               | <b>\$901</b> |               | <b>\$1,107</b> |               |

1. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

# Supplemental Reconciliations: GAAP to Non-GAAP Operating Expenses

| \$ in millions                                          | Q1'24          | Q2'24          | Q3'24          | Q4'24          | Q1'25          | Q2'25          | Q3'25          | Q4'25          | Q1'26          | Q2'26          |
|---------------------------------------------------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|----------------|
| <b>GAAP operating expenses</b>                          | <b>\$1,932</b> | <b>\$1,951</b> | <b>\$1,892</b> | <b>\$1,913</b> | <b>\$1,862</b> | <b>\$3,278</b> | <b>\$2,425</b> | <b>\$3,249</b> | <b>\$2,870</b> | <b>\$3,153</b> |
| Amortization of intangible assets                       | (71)           | (67)           | (60)           | (69)           | (38)           | (37)           | (126)          | (310)          | (311)          | (323)          |
| Stock-based compensation expense                        | (125)          | (106)          | (71)           | (79)           | (137)          | (103)          | (167)          | (187)          | (192)          | (195)          |
| Acquisition, disposition and other charges <sup>1</sup> | (63)           | (79)           | (82)           | (91)           | (81)           | (42)           | (175)          | (109)          | (128)          | (99)           |
| Cost reduction program                                  | —              | —              | —              | —              | —              | (100)          | (2)            | (47)           | (18)           | (22)           |
| H3C divestiture related severance costs                 | —              | —              | —              | —              | (76)           | (4)            | —              | —              | —              | —              |
| Impairment charges                                      | —              | —              | —              | —              | —              | (1,361)        | —              | (260)          | —              | —              |
| <b>Total adjustments to operating expenses</b>          | <b>(259)</b>   | <b>(252)</b>   | <b>(213)</b>   | <b>(239)</b>   | <b>(332)</b>   | <b>(1,647)</b> | <b>(470)</b>   | <b>(913)</b>   | <b>(649)</b>   | <b>(639)</b>   |
| <b>Non-GAAP operating expenses</b>                      | <b>\$1,673</b> | <b>\$1,699</b> | <b>\$1,679</b> | <b>\$1,674</b> | <b>\$1,530</b> | <b>\$1,631</b> | <b>\$1,955</b> | <b>\$2,336</b> | <b>\$2,221</b> | <b>\$2,514</b> |

1. Beginning in Q2'26, Transformation (costs) credits are included in Acquisition, disposition and other charges.

# Appendix 2

# Endnotes

## **Slide 3: Record second quarter results puts HPE two years ahead of fiscal 2028 long-term financial plan**

1. A reconciliation of specific adjustments to GAAP results for the current and prior periods are included in the "Appendix 1" section.
2. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
3. For the definition of free cash flow, see slide 21. Free cash flow excludes \$1.4B of H3C gross proceeds of investing cash flow received subsequent to quarter end.
4. Normalized to include 8 months of pre-acquisition Juniper Networks results.

## **Slide 4: Q2 FY26 financial results**

1. A reconciliation of specific adjustments to GAAP results for the current and prior periods are included in the "Appendix 1" section.

## **Slide 5: Q2 FY26 business segment results**

1. Includes adjustments for unallocated corporate operating costs (which are managed only at the HPE corporate level) and eliminations. Segment results on this slide do not include or reflect these adjustments.
2. HPE Operating Profit ("OP") is a non-GAAP measure, which is reconciled to our GAAP OP on slide 20. HPE OP as a percentage of net revenue, year-over-year and sequential change in OP as a percentage of revenue were calculated using non-GAAP OP. A reconciliation of specific adjustments to GAAP results for the current and prior periods are included in the "Appendix 1" section.

## **Slide 6: Record AI backlog driven by strength in AI orders**

1. Orders and backlog figures presented on this slide are as of the ends of the quarterly periods presented and remain subject to ongoing adjustment for a variety of reasons (including but not limited to re-bookings, cancellations, and fulfillment issues).
2. Includes products and services. Networks for AI included beginning Q1'26. Does not include Networks for AI services.
3. Cumulative sovereign and enterprise customer mix of cumulative AI orders since Q1'23.
4. Normalized to include 8 months of pre-acquisition Juniper Networks results.

## **Slide 7: Raising fiscal 2026 free cash flow guidance to at least \$3.5 billion**

1. For the definition of free cash flow, see slide 21. Free cash flow excludes \$1.4B of H3C gross proceeds of investing cash flow received subsequent to quarter end.
2. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
3. For reconciliation to operating cash flow, see slide 21.

# Endnotes

## **Slide 8: Expect to achieve ~2x net leverage by end of fiscal 2026**

1. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
2. Trailing twelve months (“TTM”) refers to (i) for Q3’25 TTM, the period encompassing the month ended July 31, 2025, and the 11 months preceding July 2025 for both HPE and Juniper Networks, and (ii) for Q2’26 TTM, the period encompassing the month ended April 30, 2026, and the 11 months preceding April 2026 for HPE and two months of Juniper Networks relating to pre-acquisition period. See the reconciliations on slides 22.
3. See the calculation of Total net debt on slide 22.
4. Calculated as HPE Financial Services (FS) gross debt of \$11.0 billion less FS cash of \$0.5 billion. See slide 15 for further information.
5. For the definition of free cash flow, see slide 21. Free cash flow excludes \$1.4B of H3C gross proceeds of investing cash flow received subsequent to quarter end.

## **Slide 9: Fiscal 2026 outlook**

1. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
2. Q3’26 non-GAAP diluted net EPS estimate excludes net after-tax adjustments of approximately \$0.04 per diluted share, primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, cost reduction program, and adjustments related to the sale of H3C.
3. Normalized growth rates are calculated based on FY25 results that have been normalized to include 8 months of Juniper Networks results, pre-acquisition close, refer to slide 19 for more information.
4. FY26 non-GAAP operating profit excludes costs of approximately \$2.6 billion primarily related to amortization, stock-based compensation expense, acquisition, disposition and other charges, and cost reduction program.
5. FY26 non-GAAP diluted net EPS estimate excludes net after-tax adjustments of approximately \$0.93 per diluted share, primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, cost reduction program, and adjustments related to the sale of H3C.
6. For the definition of free cash flow, see slide 21. Free cash flow excludes \$1.4B of H3C gross proceeds of investing cash flow received subsequent to quarter end.

# Endnotes

## **Slide 10: Fiscal 2026 outlook details**

1. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
2. Q3'26 non-GAAP diluted net EPS estimate excludes net after-tax adjustments of approximately \$0.04 per diluted share, primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, cost reduction program, and adjustments related to the sale of H3C.
3. Normalized growth rates are calculated based on FY25 results that have been normalized to include 8 months of Juniper Networks results, pre-acquisition close, refer to slide 19 for more information.
4. For the definition of free cash flow, see slide 21. Free cash flow excludes \$1.4B of H3C gross proceeds of investing cash flow received subsequent to quarter end.
5. FY26 non-GAAP diluted net EPS estimate excludes net after-tax adjustments of approximately \$0.93 per diluted share, primarily related to amortization of intangible assets, stock-based compensation expense, acquisition, disposition and other charges, cost reduction program, and adjustments related to the sale of H3C.
6. FY26 non-GAAP operating profit excludes costs of approximately \$2.6 billion primarily related to amortization, stock-based compensation expense, acquisition, disposition and other charges, and cost reduction program.

## **Slide 11: Fiscal 2027 financial framework**

1. Represents HPE Non-GAAP operating margin rate.
2. HPE provides certain guidance on a non-GAAP basis. The Company is unable to provide a reconciliation to the most directly comparable GAAP financial measure without unreasonable efforts, as it cannot predict some elements that are included in such directly comparable GAAP financial measure.
3. For the definition of free cash flow see slide 21.

## **Slide 13: Networking - Q2 FY26**

1. Segment operating profit is calculated based on total segment operating profit, which excludes unallocated corporate operating costs and other adjustments that are managed only at the HPE corporate level.
2. Year-over-year growth is on as reported basis.
3. Normalized growth rates are calculated based on FY25 results that have been normalized to include 8 months of Juniper Networks results, pre-acquisition close, refer to slide 19 for more information.
4. Includes telco and cloud providers.

# Endnotes

## **Slide 14: Cloud & AI - Q2 FY26**

1. Segment operating profit is calculated based on total segment operating profit, which excludes unallocated corporate operating costs and other adjustments that are managed only at the HPE corporate level.
2. Storage includes revenue from GreenLake Flex and Software.
3. Other category includes intersegment revenue eliminations and third-party storage solutions.

## **Slide 15: Q2 FY26 balance sheet**

1. Operating Company = Total HPE excluding FS; Financing Company = HPE Financial Services.
2. As of April 30, 2026, we have outstanding securitized debt of approximately \$1.8 billion from ABS issuances in the US market.
3. Operating company net cash is defined as total company net cash excluding the cash and debt associated with Financial Services.
4. Net Portfolio Assets represents the total amount of Financing Receivables and Operating Lease Assets recorded on the balance sheet, net of reserves against those assets.
5. FS gross debt includes primarily intercompany equity that is treated as debt for segment reporting purposes, intercompany debt, and borrowing and funding related activity associated with Financial Services and its subsidiaries. Debt excludes impact of interest rate swaps.